LOCKHEED MARTIN

Executive Overview | Business Scale, Demand Visibility & Market Response

FY2025 FINANCIALS
USD millions except margin

Revenue ($M)	Year-End Backlog ($M)	Operating Margin	Free Cash Flow ($M)
$75,048	$193,622	10.3%	$6,908

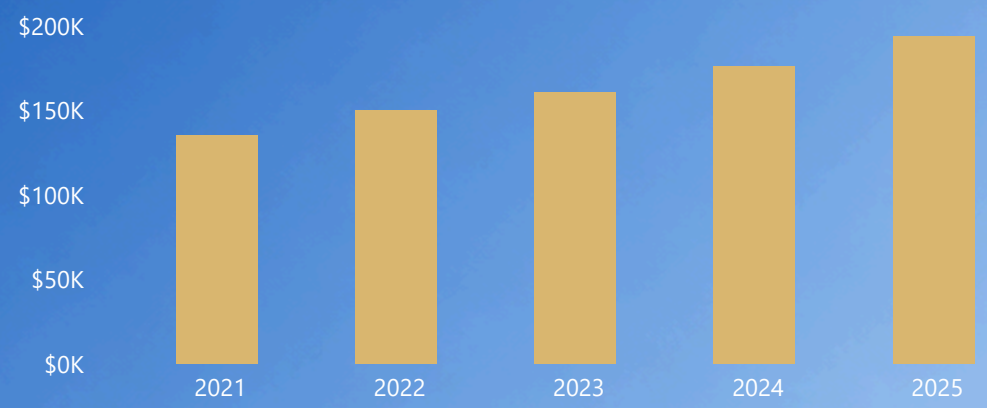
BUSINESS SCALE AND POSITION

Revenue by Business Segment ($M) | FY2025



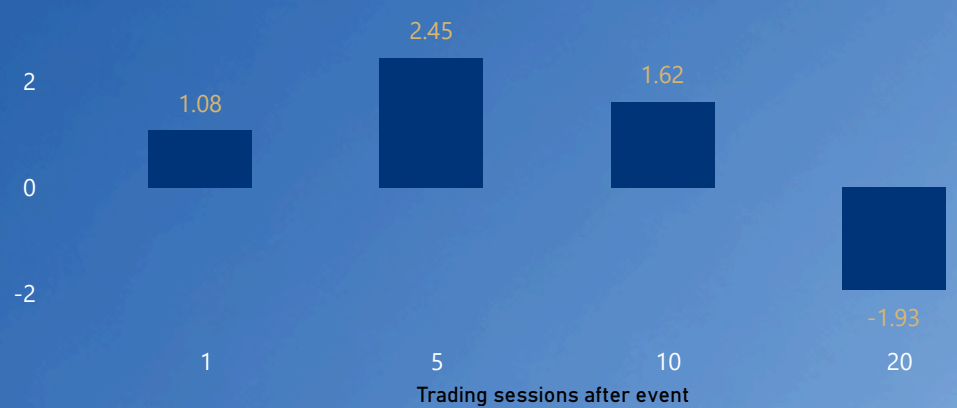
BACKLOG AND DEMAND VISIBILITY

Year-End Backlog ($M) | FY2021–FY2025



Backlog provides demand visibility; conversion into revenue, profit and cash depends on funding and execution.

Median outperformance vs ITA · percentage points



SHORT-TERM OUTPERFORMANCE

80%
Share of events outperforming ITA over 5 sessions

40%
Share of events outperforming ITA over 20 sessions

Sample: 10 selected geopolitical events, 2021–2025. Price returns exclude dividends. Historical outperformance does not establish a trading strategy.

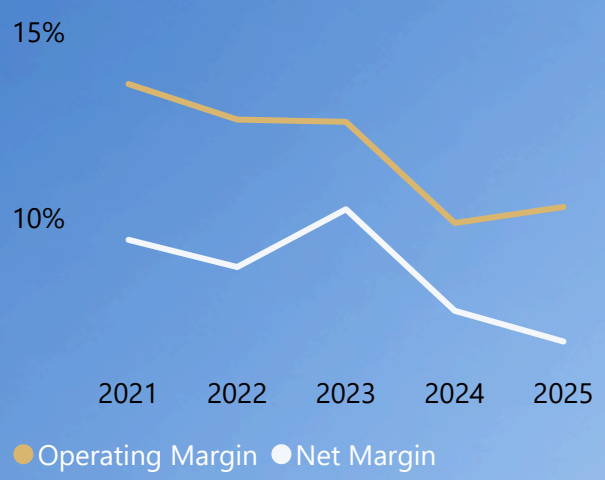
FINANCIAL PERFORMANCE

Revenue Growth, Profitability & Cash Generation

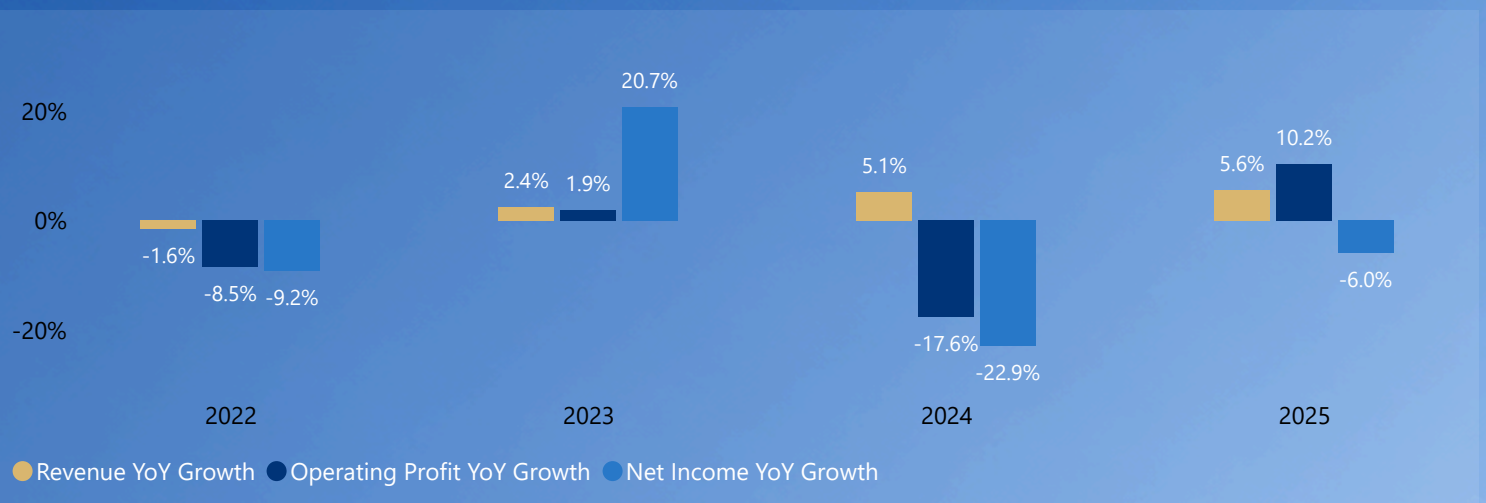
FY2021–FY2025 | USD millions except percentages

Year	Revenue ($M)	Operating Profit ($M)	Operating Margin	Net Income (M)	Net Margin	Free Cash Flow ($M)	FCF Conversion
2021	$67,044	$9,123	13.6%	$6,315	9.4%	$7,699	121.9%
2022	$65,984	$8,348	12.7%	$5,732	8.7%	$6,132	107.0%
2023	$67,571	$8,507	12.6%	$6,920	10.2%	$6,229	90.0%
2024	$71,043	$7,013	9.9%	$5,336	7.5%	$5,287	99.1%
2025	$75,048	$7,731	10.3%	$5,017	6.7%	$6,908	137.7%

PROFITABILITY TREND



ANNUAL GROWTH COMPARISON



GROWTH HAS NOT FULLY TRANSLATED INTO PROFITABILITY

Revenue increased from $67.0 billion in 2021 to $75.0 billion in 2025, while operating margin fell from 13.6% to 10.3%. In 2025, revenue grew 5.6% and operating profit recovered 10.2%, but net income declined 6.0%. The recovery was uneven: higher sales and improving operating results did not produce stronger bottom-line earnings.

Sources: Lockheed Martin full-year earnings releases for 2021, 2023 and 2025, including comparative prior-year figures; author calculations.

Event Analysis

LMT Price Returns vs SPY and ITA

Event	LMT Return (%)	SPY Return (%)	ITA Return (%)
Fall of Kabul	1.12%	0.97%	-0.95%
Finland and Sweden apply to NATO	-0.39%	0.31%	1.16%
Finland joins NATO	3.04%	0.79%	0.45%
Full-scale invasion of Ukraine	15.38%	1.29%	5.73%
Hamas-led attack on Israel	10.84%	-1.94%	2.68%
Iran direct attack on Israel	2.42%	-0.51%	1.42%
Iran missile attack on Israel	4.50%	1.84%	2.75%
Israeli strikes on Iran	-2.28%	1.85%	4.50%
Sweden joins NATO	1.60%	2.10%	0.12%
Ukraine ATACMS strike in Russia	-2.63%	2.68%	2.06%

Event Window (Trading Sessions)

10

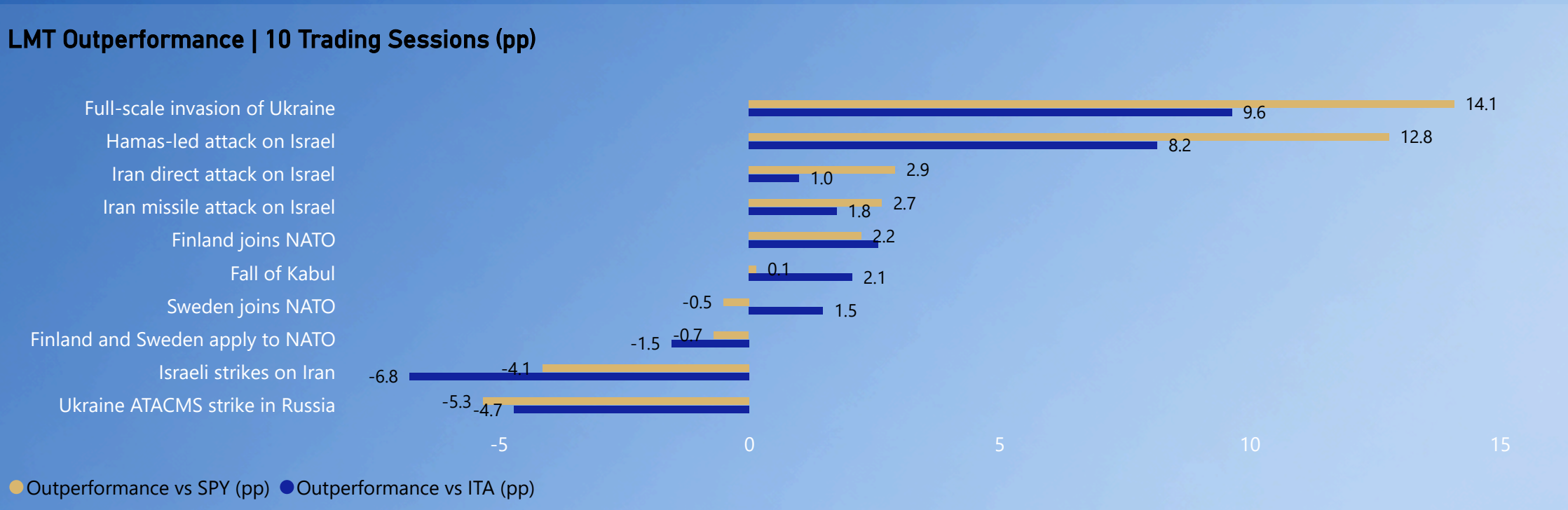
Share of Events Outperforming ITA (%)

70%

Median Outperformance vs ITA (pp)

1.62

Sample: 10 selected geopolitical events, 2021–2025. Price returns exclude dividends. Windows begin at the preceding trading close and count the assigned session as session 1. Positive outperformance means LMT exceeded the benchmark's return. Results show historical associations, not causation or a validated trading strategy.

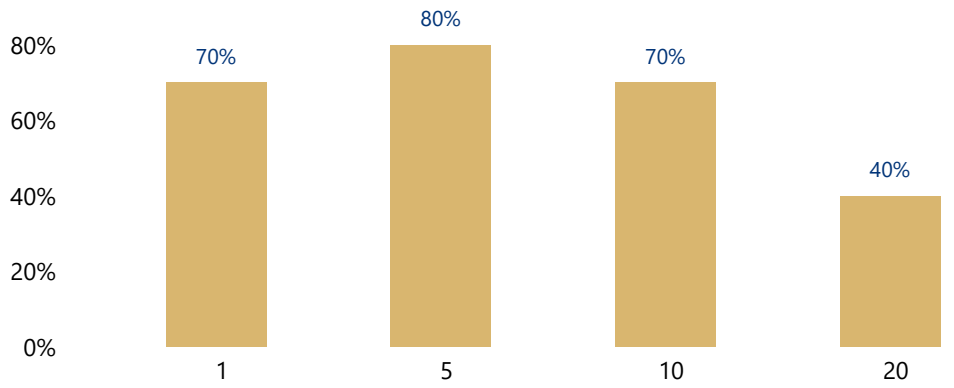


REACTION PERSISTENCE

LMT Outperformance Across Trading Windows

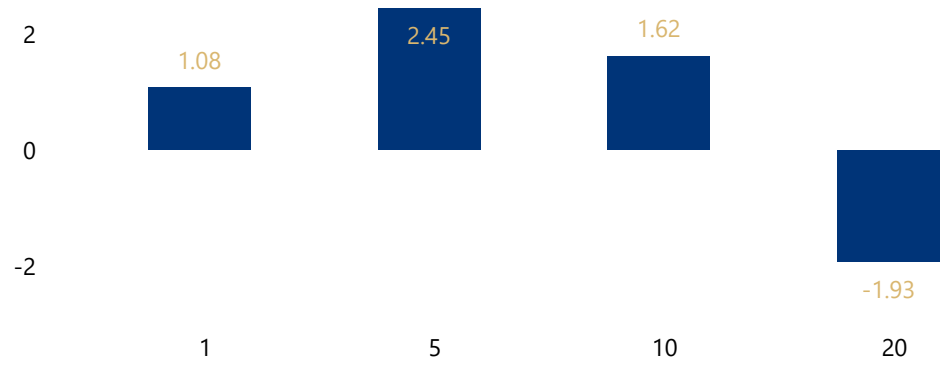
Share of Events Outperforming ITA (%)

Trading Sessions After Event



Median Outperformance vs ITA (pp)

Trading Sessions After Event



LMT Outperformance vs ITA by Event (pp)

Event	1	5	10	20
Ukraine ATACMS strike in Russia	-0.01	-3.42	-4.69	-5.97
Sweden joins NATO	-1.07	2.25	1.48	4.25
Israeli strikes on Iran	3.24	-0.27	-6.78	-6.98
Iran missile attack on Israel	2.50	2.46	1.75	-4.40
Iran direct attack on Israel	1.12	2.77	1.00	-1.68
Hamas-led attack on Israel	4.49	5.67	8.16	4.17
Full-scale invasion of Ukraine	-1.00	6.02	9.65	4.85
Finland joins NATO	1.51	1.30	2.59	-2.96
Finland and Sweden apply to NATO	1.00	2.44	-1.55	-2.18
Fall of Kabul	1.03	3.12	2.07	0.58

OUTPERFORMANCE WEAKENS OVER LONGER WINDOWS

Across 10 selected events, LMT outperformed ITA in 8 of 10 five-session windows (80%), with median outperformance of 2.45 percentage points.

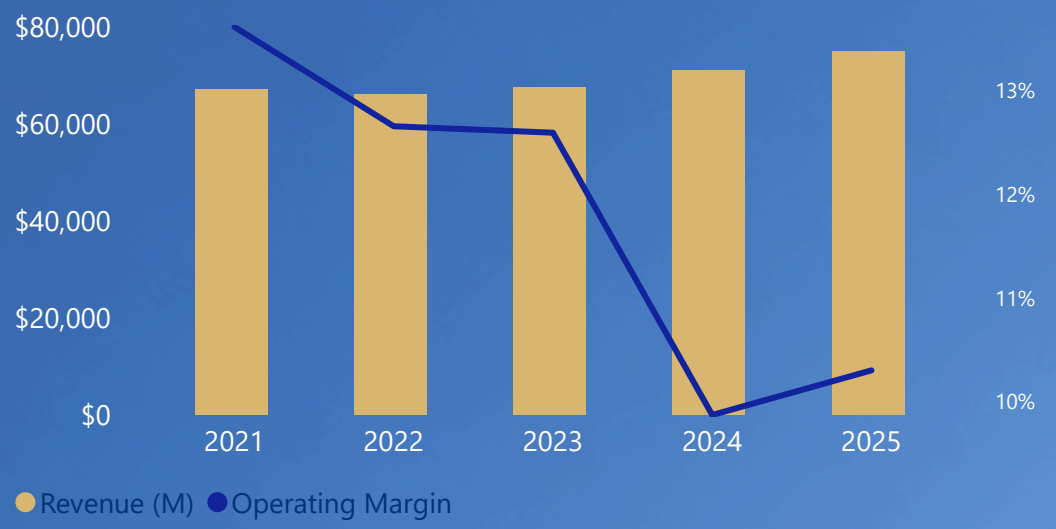
At 20 sessions, LMT outperformed in 4 of 10 windows (40%), while median outperformance was −1.93 percentage points.

The sample shows stronger relative performance over five sessions than over twenty. It does not establish causation or a reliable trading strategy.

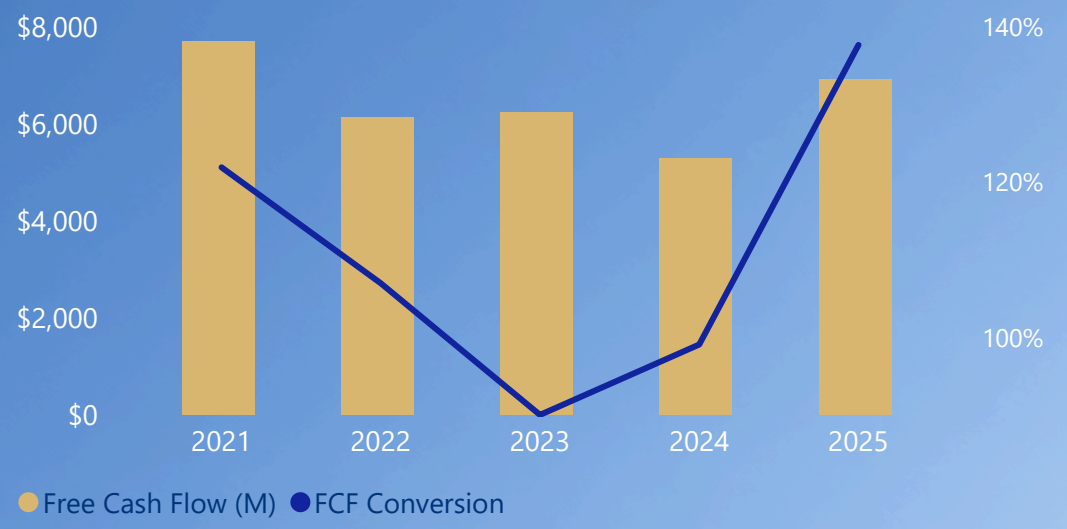
OPERATING PERFORMANCE

Revenue, Cash Generation & Segment Profitability

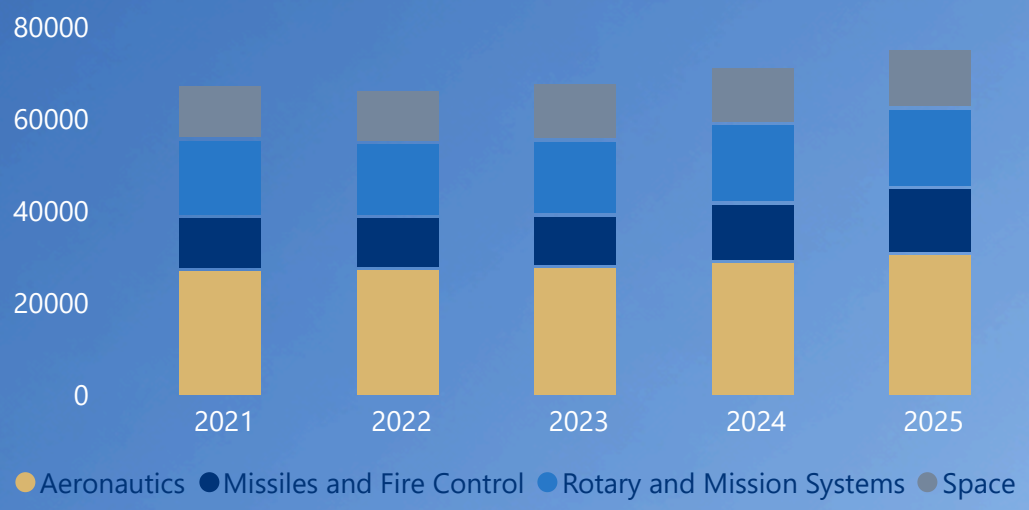
Revenue ($M) & Operating Margin (%)



Free Cash Flow ($M) & FCF Conversion (%)



Revenue by Business Segment ($M)



Segment Operating Margins (%)

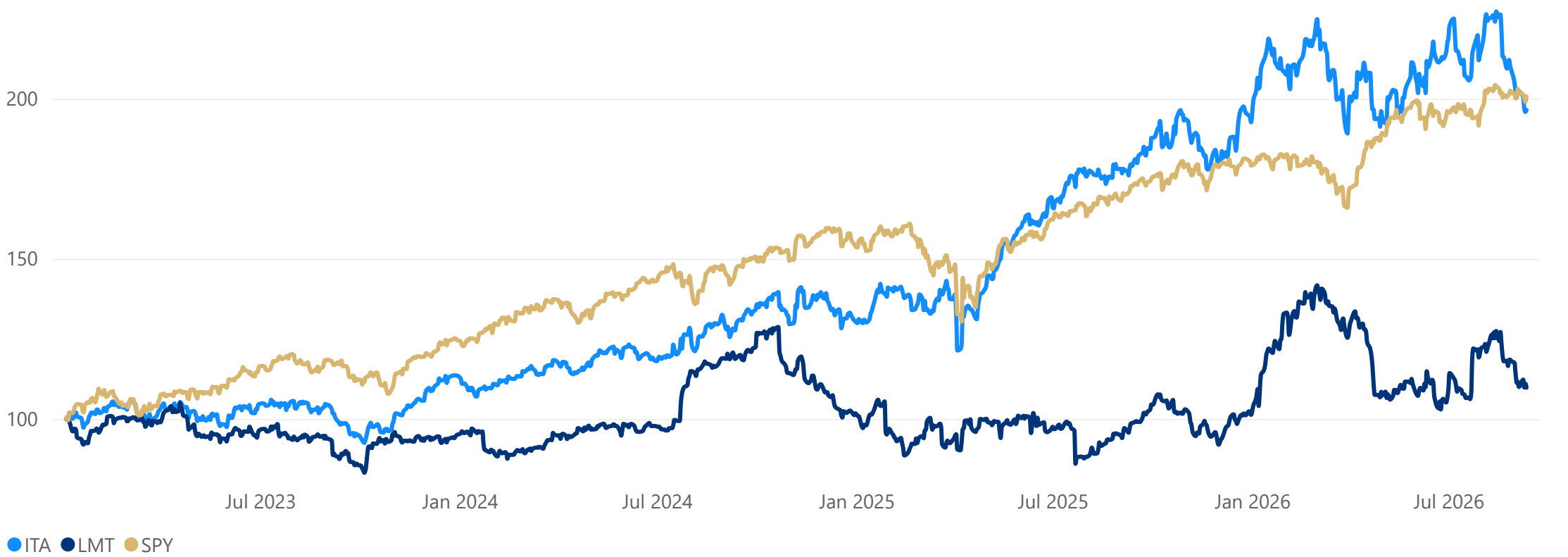
Segment	2022	2023	2024	2025
Aeronautics	10.6%	10.3%	8.8%	6.9%
Missiles and Fire Control	14.5%	13.7%	3.3%	13.8%
Rotary and Mission Systems	11.8%	11.5%	11.1%	7.6%
Space	9.2%	9.2%	9.8%	10.3%

Segment margins cover FY2022–FY2025. Comparable FY2021 segment operating-profit data is unavailable in this model.

MARKET PERFORMANCE

LMT Price Performance vs SPY and ITA

Indexed Price Performance | Starting Value = 100



Select Comparison Period

1/1/2023 9/11/2026

Price Returns Over Selected Period

Security	Price Return (%)
iShares U.S. Aerospace & Defense ETF	96.47%
Lockheed Martin	9.77%
SPDR S&P 500 ETF Trust	100.70%

Each security is rebased to 100 at its first available trading close within the selected period. A value of 120 represents a 20% price increase from that starting close.

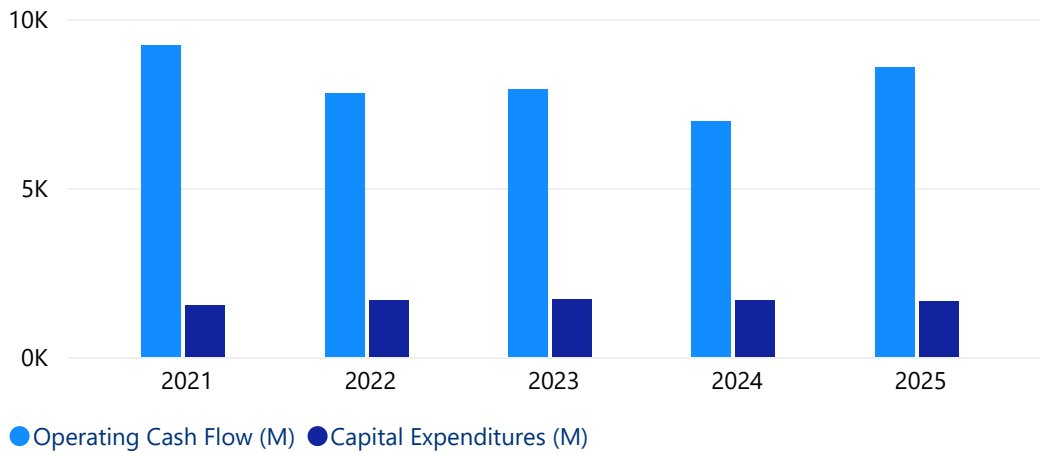
Period returns compare the first and last available trading closes. Dividends are excluded; these are price returns, not total returns.

CASH FLOW ANALYSIS

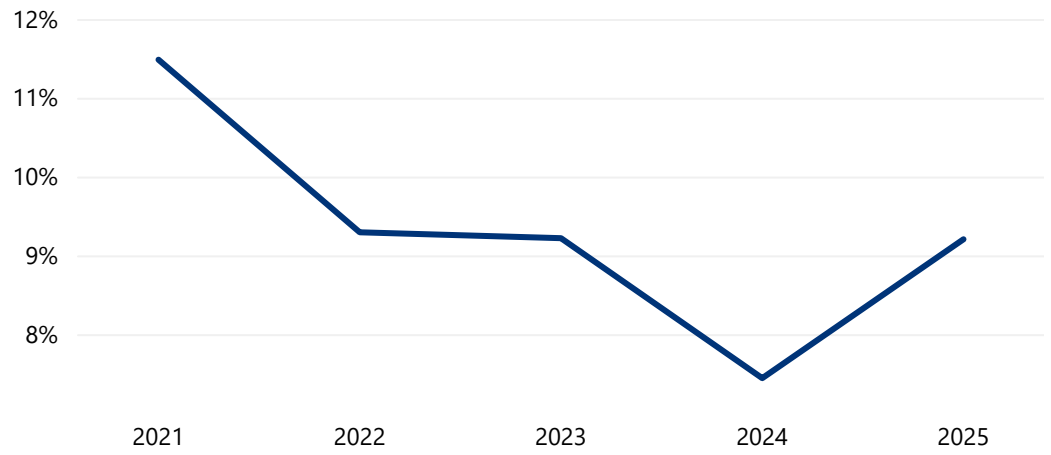
Cash Generation, Investment & Capital Allocation

FY2021–FY2025 | USD millions except percentages

Operating Cash Flow & Capital Expenditures ($M)

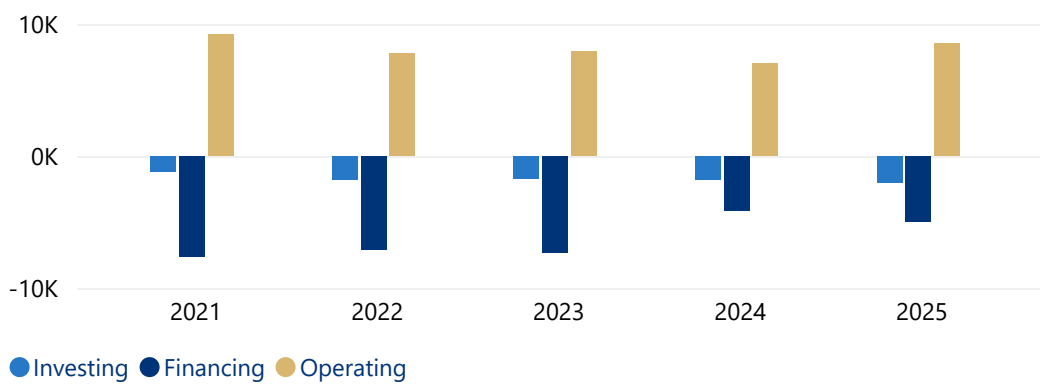


Free Cash Flow Margin (%)

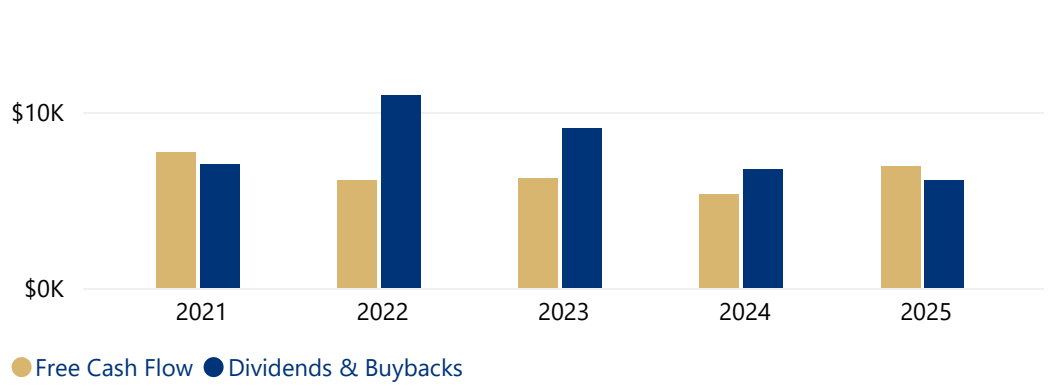


Year	Operating Cash Flow (M)	Capital Expenditures (M)	Net Change in Cash	Free Cash Flow (M)	Free Cash Flow Margin	FCF Conversion
2021	9,221	1,522	444	$7,699	11.5%	121.9%
2022	7,802	1,670	-1,057	$6,132	9.3%	107.0%
2023	7,920	1,691	-1,105	$6,229	9.2%	90.0%
2024	6,972	1,685	1,041	$5,287	7.4%	99.1%
2025	8,557	1,649	1,638	$6,908	9.2%	137.7%

Cash Flow by Activity ($M)



Free Cash Flow vs. Dividends & Buybacks ($M)



METHODOLOGY & LIMITATIONS

EVENT STUDY: SCOPE & CALCULATIONS

Event sample: 10 selected geopolitical events from 2021–2025. LMT is compared with SPY, a broad U.S. equity benchmark, and ITA, an aerospace and defense sector benchmark.
Event windows: 1, 5, 10 and 20 trading sessions. Events are assigned to the first trading session on or after the recorded event date. Returns begin at the preceding session's close and end at the close of the window's final session, counting the assigned session as session 1.
Price return: (Ending closing price ÷ Beginning closing price) − 1. Dividends are excluded.
Outperformance: LMT price return minus benchmark price return, expressed in percentage points.
Summary measures: Median outperformance and the share of valid events with strictly positive outperformance. Missing comparisons are excluded; ties remain in the denominator and are not wins.

FINANCIAL CALCULATIONS

Coverage: FY2021–FY2025. Financial amounts are in USD millions unless stated otherwise.
Operating margin: Operating profit ÷ revenue.
Free cash flow: Operating cash flow − capital expenditures.
FCF margin: Free cash flow ÷ revenue.
FCF conversion: Free cash flow ÷ net income.
Shareholder distributions: Cash dividends + share repurchases.
Net change in cash: Operating + investing + financing cash flows.

MARKET PERFORMANCE & CASH FLOW CONVENTIONS

Indexed price: Each security starts at 100 at its first available trading close within the selected period. Index = closing price ÷ starting price × 100.
Selected-period return: Last available closing price ÷ first available closing price − 1. Dividends are excluded.
Cash flow signs: Operating, investing, and financing cash flows retain their reported signs. Negative values indicate net cash outflows.
Cash payments: Capital expenditures, dividends, share repurchases, and debt repayments are displayed as positive amounts paid.
Debt proceeds: Borrowing proceeds are shown separately from repayments. A net financing outflow can coexist with new borrowing.
Ratio aggregation: Multi-year margins and conversion ratios use aggregate amounts rather than a simple average of annual percentages.

LIMITATIONS & INTERPRETATION

Sample selection: The 10 events are selected examples, not a random or comprehensive sample of geopolitical developments.
Causation: Returns show historical associations. Earnings, interest rates, market conditions, and other news may also influence prices.
Event timing: Exact announcement times have not been verified. Daily closing prices cannot isolate an immediate market reaction.
Overlapping windows: Event windows may overlap. Results across events and holding periods are not necessarily independent.
Investment use: Win rates and median outperformance do not establish statistical significance or a reliable trading strategy. Trading costs and risk-adjusted performance are not evaluated.
Backlog: Backlog represents reported orders, not guaranteed future revenue, cash flow, or profit.
Segment coverage: Segment margins cover FY2022–FY2025 because comparable FY2021 segment operating-profit data is unavailable in this model.

SOURCES & EVENT REGISTER

DATA SOURCES

Company financials

Lockheed Martin full-year earnings releases for 2021, 2023, and 2025, including comparative prior-year figures. These supply the annual financial and segment data.

Market prices

Historical price data for LMT, SPY, and ITA were sourced from Nasdaq, with SPY observations for April 17 and 20, 2026 cross-checked and corrected using Yahoo Finance. Related daily returns and drawdown calculations were updated. Returns exclude dividends, and historical price-adjustment conventions have not been independently verified.

Event references

Event names, dates, and source references are stored in the Dim Event table. The sample contains 10 selected events and is not an exhaustive geopolitical event history.

Coverage

Financial results: 2021–2025.

Market prices in the dataset: January 4, 2021–September 11, 2026.

Data limitation

2021 segment operating profit is left blank where comparable data was unavailable.

Event	Event Date	Assigned session	Baseline close date	Evidence	Source
Fall of Kabul	15-Aug-21	16-Aug-21	13-Aug-21	UN: Afghanistan report S/2021/759, paras. 3–4	
Full-scale invasion of Ukraine	24-Feb-22	24-Feb-22	23-Feb-22	UN: Ukraine statement, 24 Feb 2022	
Finland and Sweden apply to NATO	18-May-22	18-May-22	17-May-22	NATO: Finland and Sweden apply, 18 May 2022	
Finland joins NATO	04-Apr-23	04-Apr-23	03-Apr-23	NATO: Finland joins, 4 Apr 2023	
Hamas-led attack on Israel	07-Oct-23	09-Oct-23	06-Oct-23	UN: Middle East statement, 7 Oct 2023	
Sweden joins NATO	07-Mar-24	07-Mar-24	06-Mar-24	NATO: Sweden joins, 7 Mar 2024	
Iran direct attack on Israel	13-Apr-24	15-Apr-24	12-Apr-24	UN: Iran attack statement, 13 Apr 2024	
Iran missile attack on Israel	01-Oct-24	01-Oct-24	30-Sep-24	UN: Noon briefing, 2 Oct 2024	
Ukraine ATACMS strike in Russia	19-Nov-24	19-Nov-24	18-Nov-24	Reuters: ATACMS strike in Russia, 19 Nov 2024	
Israeli strikes on Iran	13-Jun-25	13-Jun-25	12-Jun-25	UN DPPA: Israel–Iran briefing, 13 Jun 2025	

Exact Financial References

https://news.lockheedmartin.com/2022-01-25-Lockheed-Martin-Reports-Fourth-Quarter-and-Full-Year-2021-Financial-Results
https://news.lockheedmartin.com/2024-01-23-Lockheed-Martin-Reports-Fourth-Quarter-and-Full-Year-2023-Financial-Results
https://news.lockheedmartin.com/2026-01-29-Lockheed-Martin-Reports-Fourth-Quarter-and-Full-Year-2025-Financial-Results